JACKSON ELECTRIC MEMBERSHIP CORPORATION

SCHEDULE P-22

WHOLESALE POWER COST ADJUSTMENT

APPLICABILITY:

This schedule is applicable to and becomes a part of each electric service rate schedule of Jackson EMC in which reference is made to Schedule P.

MONTHLY RATE:

The monthly charges shall be increased or decreased on a uniform per kWh basis computed as follows:

$$WPCA = \frac{PC - BC + LM + R}{Ks}$$

Where:

WPCA Wholesale Power Cost Adjustment factor (expressed in $ per kWh) to be applied to energy sales for the billing period.

PC Total estimated purchased power cost for the next twelve months plus other expenses charged to Purchased Power, excluding power costs attributed to sales under the MBS and QF rates.

Ks Total estimated energy sales for next twelve months, excluding sales under the MBS and QF rates.

R Adder or credit to be applied to the current monthly billing to account for differences in actual purchased electricity costs and actual WPCA revenues recovered in previous periods.

BC Total estimated purchased power cost included in Cooperative's base rates for the next twelve months. The base power cost is computed as:

BC = B x Kp

B - Base power rate of $ 0.0781 per kWh.

Kp - Total estimated kWh purchased for the next twelve months, excluding the estimated kWh purchased for the MBS and QF rates.

LM Add back of Load Management credit dollars paid to Load Management participants through the LM "Load Management Rider", and revenue deferrals as applicable.

The WPCA factor will be computed according to the above formula for a twelve-month period beginning January of each calendar year and adjusted accordingly as actual monthly data is available.